

MEMORANDUM

TO: Director of Human Resources

FROM: Simran (AI & Data Science Intern)

DATE: June 26, 2026

SUBJECT: Workforce Data Analysis: Key Turnover Drivers and Actionable Retention Strategy

EXECUTIVE SUMMARY An analysis of our workforce data shows that our overall company-wide employee turnover rate stands at 16.12%. While this baseline appears stable on the surface, a deeper look reveals severe, localized risks within specific entry-level roles and high-pressure departments. By proactively addressing clear compensation gaps and workload imbalances, we can protect our talent pipeline, stabilize client relationships, and significantly lower unnecessary recruitment and onboarding costs.

KEY TALENT INSIGHTS

- **The Sales Representative Crisis:** While the company average is 16%, our Sales Representatives are leaving at an unsustainable rate of 39.76%. This means nearly 4 out of every 10 sales reps we hire leave the organization prematurely, creating massive friction in pipeline management and spiking our hiring costs.
- **The Compensation Disconnect:** Salary is the single strongest driver of departures. Employees who left earned an average monthly income of \$4,787, compared to \$6,832 for staff who stayed—leaving a stark monthly gap of \$2,045.
- **The Overtime Burden:** Operational pressure is a major secondary trigger. Employees required to work overtime leave at significantly higher rates, demonstrating that workplace burnout is actively undermining our talent retention efforts.
- **The Five-Year Vulnerability Window:** Employee departures do not happen at random. The data reveals a critical bottleneck clustering tightly around the 5-year tenure mark, signaling a drop in engagement or a lack of clear upward mobility as employees approach mid-career.

STRATEGIC RECOMMENDATIONS FOR HR IMPLEMENTATION

1. **Restructure Sales Representative Incentive Plans:** Evaluate the base salary and commission structures for the Sales Representative tier immediately. Calibrating early-stage compensation closer to market standards will directly stabilize our highest-risk turnover hotspot.
2. **Implement Overtime Controls and Guardrails:** Partner with department heads to establish strict quarterly caps on maximum allowable overtime hours per employee. Teams that consistently breach these limits (specifically Sales and Laboratory Operations) should trigger a workload rebalance or temporary contract hiring.
3. **Deploy Pre-emptive Retention Conversations at Year 4:** Given the heavy concentration of exits at the 5-year mark, HR should implement proactive career-pathing interventions and structured equity reviews for all employees crossing their 4th anniversary to secure their long-term commitment.

PREDICTIVE FRAMEWORK LIMITATIONS

While these insights provide an accurate blueprint of why employees leave, this analysis relies on historical workforce patterns. It cannot dynamically account for real-time external market shocks (such as a competitor launching an aggressive hiring campaign) or sudden internal leadership changes unless workforce data is continuously updated within our analysis.